

Question #1 of 28

Question ID: 1586145

An analyst finds return-on-equity (ROE) (based on beginning of the year equity) a good measure of management performance and wants to compare two firms: Firm A and Firm B. Firm A reports net income of \$3.2 million and has a ROE of 18. Firm B reports income of \$16 million and has an ROE of 16.

A review of the notes to the financial statements for Firm A, shows that the earnings include a loss from smelting operations of \$400,000 and that the firm has exited this business. In addition, the firm sold the smelting equipment and had a gain on the sale of \$300,000.

A similar review of the notes for Firm B discloses that the \$16 million in net income includes \$2.6 million gain on the sale of no longer needed office property. Assume that the tax rate for both firms is 36%, and that the notes describe pre-tax amounts. Which of the following is *closest* to the "normalized" ROE for Firm A and for Firm B, respectively?

- A) 18.4 and 14.3.
 - B) 16.0 and 18.0.
 - C) 17.1 and 16.9.
-

Question #2 of 28

Question ID: 1586143

A firm has reported net income of \$136 million, but the notes to financial statements includes a statement that the results "include a \$27 million charge for non-insured earthquake damage" and a "gain on the sale of certain assets during restructuring of \$16 million." If we assume that both of these items are given on a pre-tax basis and the effective tax rate is 36%, what would be the "normal income"?

- A) \$143.04 million.
 - B) \$147.00 million.
 - C) \$94.08 million.
-

Question #3 of 28

Question ID: 1472660

A firm seeking to lower current tax liability may elect to use which method of inventory valuation during an inflationary period?

- A)** LIFO.
 - B)** FIFO.
 - C)** Average cost.
-

Question #4 of 28

Question ID: 1472655

An analyst is developing a framework for financial statement analysis for his firm. The primary goal of financial statement analysis is to:

- A)** justify trading decisions for purposes of the Statement of Code and Standards.
 - B)** document portfolio changes for purposes of the Prudent Investor Rule.
 - C)** facilitate an economic decision.
-

Question #5 of 28

Question ID: 1472658

Express Delivery Inc. (EDI) reported the following year-end data:

Depreciation expense	\$30 million
Net income	\$30 million
Total assets	\$535 million
Shareholder's equity	\$150 million
Effective tax rate	35 percent

Last year EDI purchased a fleet of delivery vehicles for \$140 million. For the first year, straight-line depreciation was used assuming a depreciable life of 7 years with no salvage value. However, at year-end EDI's management determined that assumptions of a useful life of 5 years with a salvage value of 10 percent of the original value were more appropriate. How would the return on assets (ROA) and return on equity (ROE) for last year change due to the change in depreciation assumptions? ROA and ROE would be *closest* to:

- A)** ROA 5.0% and ROE 18.2%.

B) ROA 5.7% and ROE 19.5%.

C) ROA 5.3% and ROE 20.5%.

Question #6 of 28

Question ID: 1586141

Which of the following statements is *CORRECT* when inventory prices are falling?

A) LIFO results in higher COGS, lower earnings, higher taxes, and higher cash flows.

B) LIFO results in lower COGS, higher earnings, higher taxes, and lower cash flows.

C) LIFO results in lower COGS, lower earnings, lower taxes, and higher cash flows.

SnapPrints and NetPhoto Case Scenario

Josephine Howard, CFA, is an equity analyst for an investment bank. She is preparing financial reports for two publicly traded digital photography companies, SnapPrints and Net Photo. Howard just attended a CFA Institute-sponsored conference on detecting quality issues in financial statements and is eager to apply what she has learned.

SnapPrints provides photo prints and various other photo-related products, including calendars, T-shirts, and coffee mugs. NetPhoto is SnapPrints' largest competitor. NetPhoto has been receiving increasing attention from the analyst community due to its high sales growth rate, although NetPhoto's sales are still less than 50% of SnapPrints' sales.

During the conference, Howard learned about the importance of analyzing accruals to evaluate earnings quality. Therefore, Howard is going to analyze the accruals for each company as part of her review. Howard remembers a discussion from the conference about disaggregating income into its major components to improve earnings forecasts, but she cannot remember which component (cash or accruals) should receive a higher weighting in the forecast.

Howard gathered the following data from the income statement and statement of cash flows for SnapPrints.

Selected SnapPrints Income Statement Items (000s) Year Ended December 31, 2009	
Sales	45,000
Cost of Good Sold	(30,000)

Depreciation Expense	(3,000)
SG&A Expense	(2,000)
Interest Expense	(1,500)
Income Tax Expense	(3,000)
Net Income	5,500

Cash Flows for SnapPrints (000s) Year Ended December 31, 2009	
Cash from Operations	6,500
Cash from Investing	(3,500)
Cash from Financing	(1,200)
Change in Cash	1,800

Howard collected the following balance sheet data for NetPhoto.

Selected Balance Sheet items for NetPhoto as of December 31, in \$Ms					
	2009	2008		2009	2008
Cash	5,500	4,500	Accounts Payable	4,500	4,300
Accounts Receivable	6,500	5,500	Short-term Notes Payable	5,800	6,500
Inventory	11,500	14,000	Long-Term Debt	28,500	29,750
Fixed Assets, Net	35,000	34,300	<i>Total Liabilities</i>	<i>38,800</i>	<i>40,550</i>
			Common Stock	15,000	12,800
			Retained Earnings	4,700	4,950
<i>Total Assets</i>	<i>58,500</i>	<i>58,300</i>	<i>Total Liabilities and Equity</i>	<i>58,500</i>	<i>58,300</i>

Howard has concerns about revenue recognition practices at both firms and has collected the following data.

	2009	2008	2007	2006
<i>SnapPrints</i>				
Revenue	45,000	44,000	44,400	38,500

Cash Collections	43,000	45,000	44,000	37,000
<i>NetPhoto</i>				
Revenue	22,000	15,000	11,500	7,500
Cash Collections	11,000	12,000	8,500	7,000

Question #7 - 11 of 28

Question ID: 1586148

The aggregate accruals (in \$M's) for SnapPrints and the accrual ratio for NetPhoto are *closest* to:

- A) 3,700 and -0.51%.
 - B) 2,500 and -2.04%.
 - C) -4,500 and -1.49%.
-

Question #8 - 11 of 28

Question ID: 1586149

Compared to aggregate accruals, the accrual ratio is especially useful when:

- A) comparing across companies.
 - B) comparing year-over-year accruals.
 - C) the cash component is large.
-

Question #9 - 11 of 28

Question ID: 1586150

Based on her calculations of accruals, Howard believes that NetPhoto has a higher accruals ratio over the recent past compared with SnapPrints. If both companies have recently had extreme earnings, Howard would *most likely* conclude that:

- A) NetPhoto's income will revert to its mean more quickly than SnapPrints'.
 - B) SnapPrints' income will revert to its mean more quickly than NetPhoto's.
 - C) SnapPrints' income will revert to its mean, but NetPhoto's income will not.
-

Question #10 - 11 of 28

Question ID: 1586151

Based on the revenue and cash collections data for SnapPrints and NetPhoto, Howard would *most likely* conclude that:

- A)** NetPhoto is accelerating revenue.
 - B)** SnapPrints is misclassifying nonrecurring and nonoperating revenue.
 - C)** SnapPrints is accelerating revenue.
-

Question #11 - 11 of 28

Question ID: 1586152

In reviewing the footnotes to NetPhoto's financial statements, Howard discovers that the firm has engaged in a LIFO liquidation. The *most likely* effects on the financial statements (compared to no LIFO liquidation) are:

- A)** a decrease in COGS and an increase in the net profit margin.
 - B)** a decrease in inventory turnover and an increase in the gross profit margin.
 - C)** an increase in the gross profit margin and an increase in days of inventory.
-

Question #12 of 28

Question ID: 1472656

An analyst is developing a framework for financial statement analysis for his firm. This framework is *most likely* to include:

- A)** Define the purpose of the analysis, process input data, and follow up.
 - B)** Determine the allocation of firm fees, interpret processed data, and communicate conclusions.
 - C)** Maintain integrity of capital markets, perform duties to clients and employers, and avoid conflicts of interest.
-

Question #13 of 28

Question ID: 1586144

Endrun Company reported net income of \$4.7 million in 1999, and \$4.3 million in 2000. In reviewing the annual report an analyst notices that the Endrun took a charge of \$2.4 million in 1999 for the costs of relocating its main office, and in 2000 booked a gain of \$900,000 on the sale of its previous office building. What would "normalized earnings" be for 1999 and 2000 if we assume a tax rate of 36% for both years?

- A) \$6.236 million and \$3.724 million.
 - B) \$3.99 million and \$2.54 million.
 - C) \$7.1 million and \$5.2 million.
-

Question #14 of 28

Question ID: 1586138

Coastal Drilling Corp (CDC) reported the following year-end data:

EBIT	\$23 million
EBT	\$20 million
Effective tax rate	40 percent

CDC reported in the footnotes to its financial statements that it had increased the expected return on pension plan assets assumption which resulted in an increase of EBIT of \$2 million. Analyst Wanda Brunner, CFA, thinks this change in assumptions is unfounded and removes the \$2 million increase in EBIT. Which of the following is *closest* to the tax burden ratio after adjustment?

- A) 60.0%.
 - B) 55.6%.
 - C) 61.9%.
-

Question #15 of 28

Question ID: 1472664

If segmental cash flow data has not been reported, we can *most* appropriately approximate cash flow as:

- A) operating cash flow – cash interest – cash taxes.
- B) EBIT + depreciation + amortization.

C) EBIT + non-cash charges + increase in working capital.

Question #16 of 28

Question ID: 1472659

Inventories are listed on the balance sheet at \$600,000, retained earnings are \$1.9 Million. In the notes to financial statements, you find a LIFO reserve of \$125,000. Also, the probability of a LIFO liquidation is high. Assuming a tax rate of 36%, what will be the adjusted value of retained earnings?

- A) \$1,820,000.00
 - B) \$1,855,000.00
 - C) \$1,980,000.00
-

Question #17 of 28

Question ID: 1472663

In order to compare companies using a common size statement, the various line items in a company's income statement are *most likely* to be divided by the company's:

- A) net earnings.
 - B) revenues.
 - C) total assets.
-

Question #18 of 28

Question ID: 1472653

An analyst is analyzing TRK Construction (TRK) for possible recommendation to his firm's clients. He wants to use TRK's financial statements to answer such questions as "Is TRK suitable for firm clients?", "Is TRK priced properly relative to peers?", "What is TRK's earnings quality?" The analyst is *most likely* to begin with:

- A) a review of his firm's framework for analysis of financial statements.
- B) analysts adjustments to the financial statements.
- C) a DuPont analysis.

Question #19 of 28

Question ID: 1472665

Cash generated from operations (CGO) is *least* appropriately calculated as:

- A)** EBIT + non-cash charges – increase in working capital.
 - B)** operating cash flow + cash interest paid + cash taxes paid.
 - C)** net income – cash flow from operations – cash flow from investing.
-

Question #20 of 28

Question ID: 1513732

High Plains Tubular Company is a leading manufacturer and distributor of quality steel products used in energy, industrial, and automotive applications worldwide.

The U.S. steel industry has been challenged by competition from foreign producers located primarily in Asia. All of the U.S. producers are experiencing declining margins as labor costs continue to increase. In addition, the U.S. steel mills are technologically inferior to the foreign competitors. Also, the U.S. producers have significant environmental issues that remain unresolved.

High Plains is not immune from the problems of the industry and is currently in technical default under its bond covenants. The default is a result of the failure to meet certain coverage and turnover ratios. Earlier this year, High Plains and its bondholders entered into an agreement that will allow High Plains time to become compliant with the covenants. If High Plains is not in compliance by year end, the bondholders can immediately accelerate the maturity date of the bonds. In this case, High Plains would have no choice but to file bankruptcy.

High Plains follows U.S. GAAP. For the year ended 2008, High Plains received an unqualified opinion from its independent auditor. However, the auditor's opinion included an explanatory paragraph about High Plains' inability to continue as a going concern in the event its bonds remain in technical default.

At the end of 2008, High Plains' Chief Executive Officer (CEO) and Chief Financial Officer (CFO) filed the necessary certifications required by the Securities and Exchange Commission (SEC).

To get a better understanding of High Plains' financial situation, it is helpful to review High Plains' cash flow statement found in Exhibit 1 and selected financial footnotes found in Exhibit 2.

Exhibit 1: Cash Flow Statement

High Plains Tubular Cash Flow Statement		
	Year ended December 31,	
in thousands	2008	2007
Net income	\$158,177	\$121,164
Depreciation expense	34,078	31,295
Deferred taxes	7,697	11,407
Receivables	(144,087)	(24,852)
Inventory	(79,710)	(72,777)

Payables	<u>36,107</u>	<u>22,455</u>
Cash flow from operations	\$12,262	\$88,692
Cash flow from investing	(\$39,884)	(\$63,953)
Cash flow from financing	\$82,676	\$6,056
Change in cash	\$55,054	\$30,795

Exhibit 2: Selected Financial Footnotes

1. During 2008, High Plains' sales increased 27% over 2007. Its sales growth continues to significantly exceed the industry average. Sales are recognized when a firm order is received from the customer, the sales price is fixed and determinable, and collectability is reasonably assured.
2. The cost of inventories is determined using the last-in, first-out (LIFO) method. Had the first-in, first-out method been used, inventories would have been \$152 million and \$143 million higher as of December 31, 2008 and 2007, respectively.
3. Effective January 1, 2008, High Plains changed its depreciation method from the double-declining balance method to the straight-line method in order to be more comparable with the accounting practices of other firms within its industry. The change was not retroactively applied and only affects assets that were acquired on or after January 1, 2008.
4. High Plains made the following discretionary expenditures for maintenance and repair of plant and equipment and for advertising and marketing:

in millions	2008	2007	2006
Maintenance and repairs	\$180	\$184	\$218
Advertising and marketing	94	108	150

5. During the fiscal year ended December 31, 2008, High Plains sold \$50 million of its accounts receivable, with recourse, to an unrelated entity. All of the receivables were still outstanding at year end.
6. High Plains conducts some of its operations in facilities leased under noncancelable finance (capital) leases. Certain leases include renewal options with provisions for increased lease payments during the renewal term.
7. High Plains' average net operating assets at the end of 2008 and 2007 was \$977.89 million and \$642.83 million, respectively.

As compared to the year ended 2007, High Plains' cash flow accrual ratio for the year ended 2008 is:

- A) higher.
 - B) the same.
 - C) lower.
-

Question #21 of 28

Question ID: 1472657

An analyst is analyzing a discount manufacturer of parts and supplies. She has followed her firm's suggested financial analysis framework and has communicated with company suppliers, customers, and competitors. This is an input that occurs while:

- A) processing data.
 - B) collecting data.
 - C) establishing the objective of the analysis.
-

Question #22 of 28

Question ID: 1472662

Star Chemical Inc. (SCI) reported the following year-end data:

Depreciation expense	\$25 million
Net income	\$35 million
Dividends	\$10 million
Total assets	\$250 million
Shareholder's equity	\$195 million
Effective tax rate	35 percent

SCI also reported that it changed from an accelerated depreciation method to straight line depreciation. The change resulted in a decrease in depreciation expense of \$5 million. Management felt that the change "would not have a material effect on financial performance measures." Ignoring deferred taxes, what are the return on assets (ROA) and return on equity (ROE) measures under the old depreciation methods?

- A) ROA is 12.96% and ROE is 16.56%.
- B) ROA is 13.30% and ROE is 17.05%.

C) ROA is 13.50% and ROE is 17.51%.

Question #23 of 28

Question ID: 1586146

Recently, Galaxy Corporation lowered its allowance for doubtful accounts by reducing bad debt expense from 2 percent of sales to 1 percent of sales. Ignoring taxes, what are the immediate effects on Galaxy's operating income and operating cash flow?

<u>Operating</u> <u>income</u>	<u>Operating cash</u> <u>flow</u>
-----------------------------------	--------------------------------------

- | | |
|--------------|-----------|
| A) Lower | Lower |
| B) No effect | Higher |
| C) Higher | No effect |
-

Question #24 of 28

Question ID: 1472654

Wanda Brunner, CFA, is analyzing Straight Elements, Inc., (SE). SE is a discount manufacturer of parts and supplies for the railroad industry. She has followed her firm's suggested financial analysis framework, and has assembled output from processing data. When applying the financial analysis framework, which of the following is the *best* example of output from processing data?

- A) Common-size financial statements.
 - B) A written list of questions to be answered by the analysis.
 - C) Audited financial statements.
-

Question #25 of 28

Question ID: 1472661

Holdall Corporation recently reclassified many of their assets such that the average useful life of their depreciable assets was reduced. Which of the following is the *most likely* result from this change on net income and inventory turnover? (Assume everything else remains constant.) Net income will:

- A)** decrease and inventory turnover may or may not change.
 - B)** increase and inventory turnover will not change.
 - C)** decrease and inventory turnover will rise.
-

Question #26 of 28

Question ID: 1586139

ABC Tie Company reports income for the year 2009 as \$450,000. The notes to its financial statements state that the firm uses the last in, first out (LIFO) convention to value its inventories, and that had it used first in, first out (FIFO) instead, inventories would have been \$62,000 greater for the year 2008 and \$78,000 greater for the year 2009. If earnings were restated using FIFO to determine the cost of goods sold (COGS), what would the net income be for the year 2009? Assume a tax rate of 36%. Net income would have been:

- A)** \$455,760.
 - B)** \$460,240.
 - C)** \$439,760.
-

Question #27 of 28

Question ID: 1586142

MKF Consolidated reports \$500 million in goodwill on its balance sheet. The market consensus indicates that the value of MKF's intangible assets is \$300 million. How should an analyst adjust MKF's balance sheet? Reduce goodwill and:

- A)** increase liabilities by \$200 million.
 - B)** equity by \$200 million.
 - C)** equity by \$500 million while increasing liabilities by \$300 million.
-

An investor relations spokesperson for the Square Door Corporation was quoted as saying that Square Door shares were a bargain, selling at a price-to-earnings (P/E) ratio of 12, relative to the S&P 500 average P/E of 15.3. The financial statements reported net earnings of \$126 million, or \$4.00 per share. The notes to the financial statements included a statement that income for the year included a \$31.5 million (after-tax) gain from the reclassification of certain assets from its investment portfolio to its trading portfolio. What would be the normalized P/E?

- A) 13.**
- B) 16.**
- C) 15.**